① Basics of Economics
② opportunity cost
③ cost Analysis
④ Production / cost / PPF
⑤ consumer behaviour
⑥ Demand & Supply

Consumer Behaviour
⇓
Economics

Utility :
└ Concept of utility → helps us to understand → Consumer Demand Theory

Concept of utility ↓ Economist — How and why consumers make choices ??

Consumer Demand Theory ⇓ How people make choice about what to buy based on the satisfaction they get from buying that goods / services

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Economist → Total utility (TU) / marginal utility (MU) } foundation of consumer Economics

Total utility : overall amount of satisfaction which you gets after consuming specific quantity of goods or services.

Ex: Total Happiness ⇒ consuming 3 slice of Pizza
└→ Learning module ① of BDM Theory Course

Marginal utility :
└→ Additional satisfaction
└→ consuming just one more unit of that Good / services

Ex: Satisfaction Gained from 3rd slice of Pizza Alone

Law of Diminishing marginal utility (DMU) (LDMU)

Consumption ↑↑↑ → utility ↓↓↓

Assumptions:
1) No. of units are standard
2) Identical in Nature
3) Consumption Process is w/o Gap
4) Consume Taste; habbits; same during consumption
5) Income level should be constant
6) Price of commodity should be const

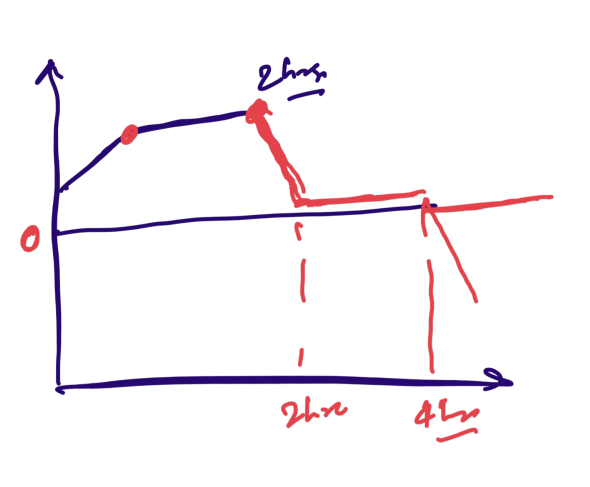
Aviation Case mgt :

DMU ⇒ customer Psychology and customer Lifetime value

{ Flight – Economy
Depart – Chennai

Passenger ⇒ Boarding Gate
⇓
waiting for flight

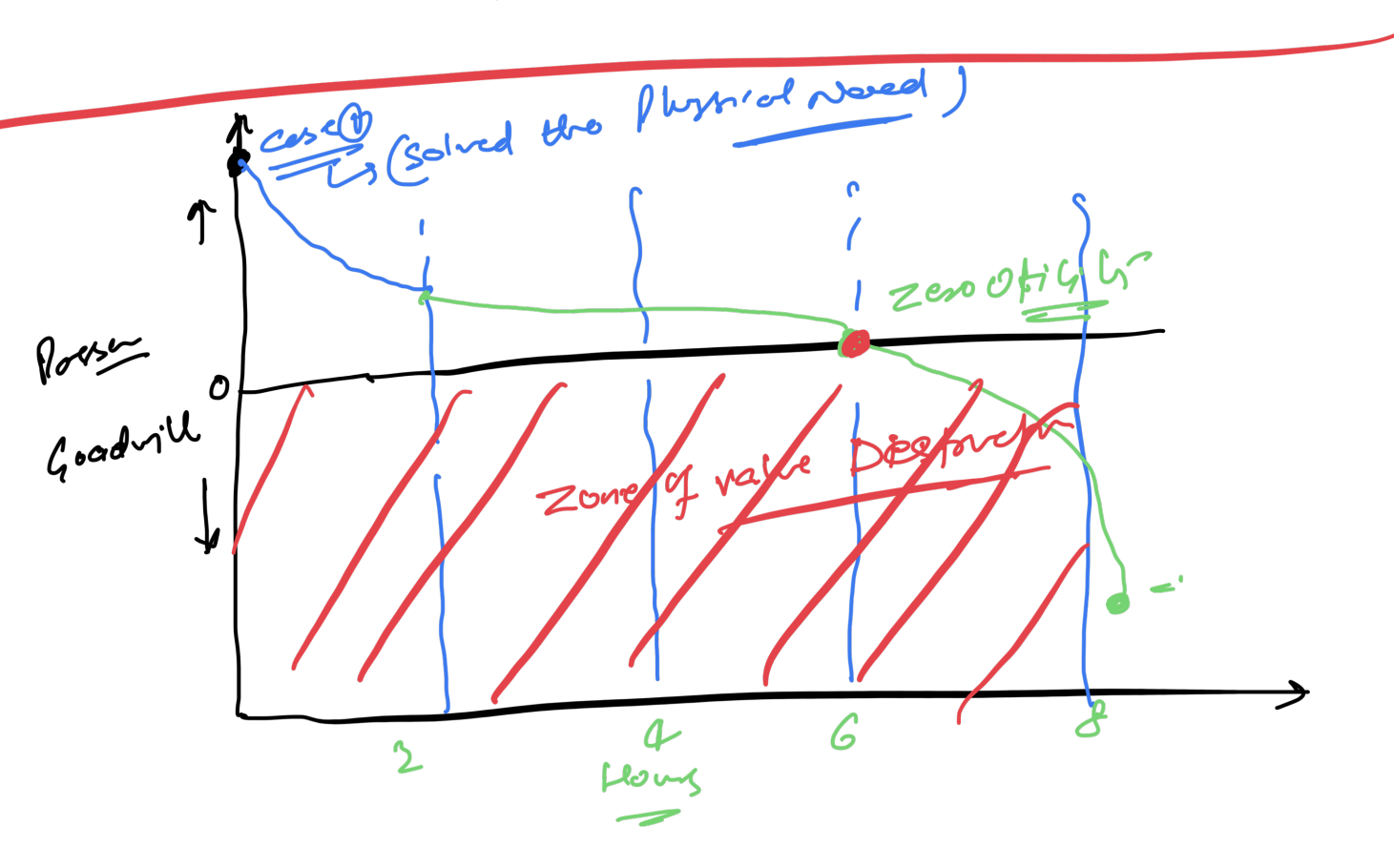
Flight delayed 2 hrs ①
└→ Food items to eat
stabilise ⇒ Positive
safety ⇒ satisfied
MU ⇒ High



Case ② → Total delay ⇒ 4 hrs.
→ coffee and soft snacks
→ MU = moderate / Low

Case ③ : 7hrs
→ MU = 0
→ TU ⇒ Dropping
↓
mood
critical

Case 4 ⇒ 10 hrs total delay
→ MU ⇒ –ve.
→ TU = Fall



////// 100%

Delay 3>4 → failed path → CLV Destroyed
→ optimal path → Preserve CLV
⇓
better deals
Pivot ⇒ Hotel

Mathematical Relationship

MU = Change in Total utility / Change in quantity

$$MU = \frac{\Delta TU}{\Delta Q} = \frac{T_{n+1} - T_n}{\Delta Q}$$

Good consumed ⇒ Airline Compensation & Apologies
Utility : Passengers / customer Goodwill / satisfaction

	Unit Compensation	Situation	Marginal Utility (Passenger Goodwill)	(Total utility) (mental health / mood)
①	Initial Meal (Food + water)	2hrs delay	High	Stabilised / Positive
②	Coffee + ---	4 hrs.	Moderate / Low	Flat
③	future ₹1000 Booking discount coupon	7hrs	Zero You doesn't care about future	Dropping
④		Nothing	Negative	Hostile

Offer Hotel

Supply & Demand

Water–Diamond Paradox : (Paradox of value)
⇓
Classical Economics Puzzle
⇓ highlights
disconnect b/w the use value and exchange value of Goods

(Paradox of value) ⇓
→ Gave Birth ⇒ To modern Pricing Theory
→ Price ⇒ driven by Marginal utility and scarcity
⇓
Not by Total utility

Why water ⇒ Essential for survival ⇒ cheaper
Diamond ⇒ Non-essential ⇒ Too expensive

Water :
① High Total utility
Low marginal utility }

Total utility : Need for survival ; utility is immense
Marginal utility : water is in abundant
└→ Easily available

In Economics : Price Determination ⇒ based on marginal utility
Not on Total Supply

2) Diamond : Total utility = low
Marginal utility = high }

Total utility :- Luxury ornament : Little functional use compare to water
Marginal utility : Diamonds ⇓ Rare
→ supply Restriction
→ marginal unit carries high Prize Tag.

Supply-Demand Interaction

Paradox : How Interaction of Supply and Demand determines Prize

Goods	Supply	Marginal Demand	Price
Water	Very High	Low (due to abundant; easily)	Low
Diamond	Very low	High (due to scarcity)	High

Key Take Aways :

① Price Reflect ⇒ "Marginal" not "Total"
⇓
Market Price of Goods ⇒ not depend on Humanity Importance
Market Price of Goods ⇒ Depend on Satisfaction and Usefulness of very next unit available (marginal utility)

Water ⇒ Abundant
⇓
Next Glass of water worth Nothing

Diamond ⇒ Rare
⇓
Next unit of consumption ⇒ work as a fortune

② Value is Subjective and context dependent :
⇓
Thar Desert ⇒ MU of water skyroot ⇒ very high
⇓

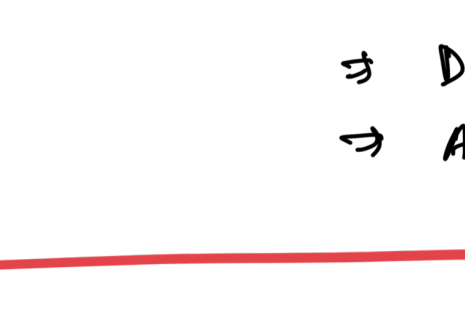
③ Scarcity ⇒ Engine of value :
→ without scarcity ⇒ even life saving Goods commands zero value (like air)

Paradox Prove : Human being only assign value / monetary value to things ~~for~~ that are required to trade off.

Demand

Demand → Intro ⇒ What is Demand ??
→ Relationship b/w Price and Quantity demanded
→ Desire To Buy ⇒ Purchasing Power
Ability to buy willingness to buy

want to Buy Car



⇒ Below Poverty Line ⇒ Desire
└→ ~~Ability~~ to pay

⇒ Desire
⇒ Ability to Pay } ⇒ Purchasing Power

Determinants of Demand :
→ Price of commodity / Product → Px
→ Price Related to substitutes ⇒ PY → Pees → A, B, C
→ Income of consumers → PZ
→ Taste and Preference → PA
→ wealth of consumer → PB

Demand function ⇒ $D_x = f(P_x, P_Y, P_Z; P_A; P_B)$